GFAL – EDUCATIONAL LOAN

Form No. 09222020-GFAL-EDUC-REV 0

NOTE: PLEASE READ TERMS AND CONDITIONS AT THE BACK. THIS APPLICATION SHALL NOT BE PROCESSED UNLESS COMPLETELY FILLED OUT.

We hereby apply for a loan in the amount equal to that indicated below pursuant to the provisions of the GSIS FINANCIAL ASSISTANCE LOAN – EDUCATIONAL LOAN (GFAL-EL). In consideration thereof, WE, the undersigned, hereby promise to pay jointly and severally the amount including interest charges and penalties accruing thereon to the GOVERNMENT SERVICE INSURANCE SYSTEM (GSIS), in accordance with the terms and conditions printed at the back of this application form which we have read and understood clearly, and to which we bind ourselves.

Likewise, we understand that this is a deferred loan and that the payment of monthly amortization is postponed or deferred until the last loan release has been made by the GSIS. **WE understand and bind ourselves to the future payment of monthly amortization of the loan and I, the member-borrower, shall be responsible for managing my finances to ensure that there is sufficient available funds from my payroll and other sources of funds, to meet the required monthly payments to the GSIS**.

Lastly, WE understand that direct or indirect commission of fraud, collusion, falsification, misrepresentation of facts, or any other kind of anomaly in the accomplishment of this form, or in obtaining any benefit under this application, shall be subject to administrative and/or criminal action on the part of the borrower, co-maker or both.

NAME AND SIGNATURE OF MEMBER-BORROWER

Date Signed: _____

NAME AND SIGNATURE OF STUDENT AND CO-MAKER
(Write "N.A." if the Student-Beneficiary is a MINOR.)

Date Signed: _____

PRINCIPAL BORROWER:

BP No.	CRN (if UMID cardholder):	OLD ID No. (if eCard Plus cardholder)

Name of GSIS Member-Borrower			Date of Birth
Last Name	First Name	Middle Name	M M D D Y Y Y Y

Sex:	Civil Status:
☐ Male ☐ Female	☐ Single ☐ Married ☐ Widow/Widower ☐ Separated

Cellphone No.	E-mail Address	Landline No.

Residential Address	Zip Code

Office Name and Address	Zip Code

Name of Spouse (if Married)			Date of Birth of Spouse
Last Name	First Name	Middle Name	M M D D Y Y Y Y

STUDENT-BENEFICIARY AND CO-MAKER:

Name of Student Grantee and Co-Maker			Date of Birth of Student-Grantee
Last Name	First Name	Middle Name	M M D D Y Y Y Y

Relationship to Borrower	School Name and Address	Zip Code

Course	Year	Semester	Enrolled in said school since:

Are you currently a School Scholar?	If YES, indicate the Institution/Individual/LGU providing the scholarship:	Since when are you enjoying said scholarship?
☐ Yes ☐ No		

LOAN AMOUNT

Type of Loan:		
☐ Initial ☐ Renewal	**Preferred Loan Amount**	**Php**

TO BE FILLED UP BY AGENCY AUTHORIZED OFFICER (AAO)

This Office certifies that: (1) the above signature of the member-borrower is authentic; (2) there is no pending administrative and/or criminal charge against the member-borrower; (3) the member-borrower is an employee and regular premium-paying member of GSIS; (4) the member-borrower is not on leave of absence without pay; and (5) the member-borrower has met the net take home pay (NTHP) requirement required under the General Appropriations Act.

For the Loan granted by virtue of this application, this office agrees to: (1) collect and remit immediately to GSIS the monthly installment due from said borrower, and (2) in case of his separation from the service, make final payments due him only after clearance is obtained from GSIS.

Agency Authorized Officer (AAO) (Signature over Printed Name) BP No. (required) Date

THIS APPLICATION FORM IS NOT FOR SALE AND MAY BE REPRODUCED.

TERMS AND CONDITIONS

Loan Amount. The loan amount shall be the total of the following:

Initial Loan Amount:

1. Up to 100% of School Fees, composed of tuition and other fees (reflected in the tuition assessment form less discount, if any), depending on the net take home pay of the member-borrower; and
2. Interest computed for the semester (or tri- or quadmester).

Succeeding Loan Amounts:

1. Up to 100% of School Fees, composed of tuition and other fees (reflected in the tuition assessment form less discount, if any), depending on the net take home pay of the member-borrower; and
2. Interest on the previous and current loan releases computed up to the latest semester (or tri- or quadmester).

The maximum loan amount that can be taken out by a member-borrower for a given academic/school year is Php100,000.00.

Loan Releases. Loan releases shall be done on a per semester (or tri-semester or quadmester) basis for a maximum of 5 years from initial loan take out, to cover all school fees for up to a 5-year course. The loan release/s shall be computed as follows:

Loan Amount (Tuition and Other School Fees based on Assessment Form or actual need of Borrower)	Php XX,XXX.XX
Less: Redemption Insurance Premium	XXXX.XX
Service Fee	XXX.XX
Net Loan Amount or Loan Proceeds / Cash Release to School	Php XX,XXX.XX

The difference between the loan amount/tuition fee and net loan amount or loan proceeds is the 'equity participation' on the part of the member-borrower, to be paid directly by the member-borrower to the educational institution/s. Capitalized interest shall be computed monthly on the loan releases for the duration of the study period, and shall form part of the principal balance of the loan.

The proceeds of the loan shall be paid directly to the educational institution concerned for the account of the student-beneficiary.

Principal Balance. The principal balance of the GFAL-EL loan shall be computed as the total of: (a) The loan amounts covering the loan releases made by the GSIS during the study period, including capitalized interests; and (b) Interests for the 1-year allowance period of 12 months, if applicable.

Loan Term. The total term of the loan is ten (10) years, divided into 2 parts: (a) Study period is the period in which the student-beneficiary is still in school. Maximum years for the study period is 5 years; and (b) The total principal balance shall be amortized starting one (1) year after the end of semester (of last loan release), and shall be payable over a period of not more than five (5) years. However, in case of a 5-year course, the repayment period is still 5 years.

Interest Rate. (a) Study Period / Before the Start of Repayment Period: 8% per annum, capitalized, in order to allow the member-borrower maximum liquidity and financial flexibility during the study period (b) Repayment Period: 8% per annum computed in advance. The monthly interest shall be computed based on diminishing balance. Pro-rata interest computation shall be applied (for both initial and succeeding loans) if the date of loan granting is not the first day of the month. The **Effective Interest Rates** are as follows:

	Semester	Tri-Sem	Quadmester
Study Period and Allowance Period	8.3000%	8.3000%	8.3000%
Repayment Period	15.0768%	15.0768%	15.0768%
Whole Loan Term	10.9910%	11.4477%	11.7327%

Redemption Insurance. The GFAL-EL shall have redemption insurance (RI) to safeguard the interests of the borrower, student-beneficiary/ies and the GSIS in case of contingency during the term of the loan. The contingencies covered shall be death and permanent total disability for the member-borrower and designated student-beneficiary/ies. The GFAL-EL RI rate shall depend on the term of the loan, which shall be determined from the remaining study period of the student-beneficiary at the time of loan application. In the event of death or permanent total disability of a member-borrower or student-beneficiary during the term of the loan and the account is not in default, the insurance proceeds from the RI benefits shall be applied as payment to the current outstanding balance of the loan. The loan shall be deemed paid by virtue of the RI if the member-borrower or student-beneficiary dies and the loan is up-to-date. The same applies if the member-borrower or student-beneficiary became permanently and totally disabled. In case the loan is in arrears, only the theoretical outstanding balance shall be covered by the RI benefit and shall be deemed fully paid. The arrearages, however, shall be deducted from whatever benefits due the deceased or permanently disabled member or student-beneficiary. In case the arrearages exceed the benefits due, the excess shall be deducted from the subsequent benefits due the heirs. The RI shall be deemed lapsed or cancelled once the loan account is declared in default. Thus, the outstanding balance at the time of death or permanent total disability shall be due and demandable and shall be deducted from whatever benefits due. In case the outstanding balance exceeds the benefits, the excess shall be collected from the subsequent benefits due the heirs.

Co-Maker. The student-beneficiary/ies is/are automatically the co-maker/s to the loan. The obligation of both the member-borrower and co-maker/s is/are solidary, and the GSIS may go against the co-maker at the same time or independent of the member-borrower, pursuant to Article 1216 of the Civil Code. For minor student-beneficiary/ies, the continued release of the loan proceeds upon reaching the age of majority is contingent on the beneficiary signing as co-maker of the entire loan.

Due Date of Monthly Amortization. The due month of the loan is set on the month following the end of the 12-month grace period (in case of a 4-year course) or the end of the semester where the last loan release was made (in case of a 5-year course). The remittance due date, or the date when the first monthly amortization of the loan shall have been remitted by the agency to GSIS, shall be on or before the 10th day of the month after the due month.

9. **Other Loan Program Conditions.** (a) Summer classes as form of advance classes or as part of the course curriculum shall be covered under the program. (b) The program shall only cover for the tuition fees and other school fees for the standard school term of 4 or 5 years, as the case may be. Succeeding loan application/s corresponding to the remaining units after the 4 or 5 school years or its equivalent shall be automatically disapproved. (c) Deferment of enrollment shall for one (1) school year only, and for meritorious reasons such as health conditions, security or force majeure.

10. **Discontinuation of the Program.** Should the member-borrower opt not to avail of future loan releases under the Program, the repayment period of 5 years will start immediately on the month following the end of semester. **Pre-Termination during the Repayment Period**. The GFAL-EL may be settled any time during the repayment period, at the option of the borrower. No pre-termination charges and fees shall be collected by the GSIS. The outstanding balance shall be composed of the unpaid principal balance, unpaid interests and RI premiums computed up to the end of the month when the loan is to be settled.

11. **Compulsory Termination of the Loan and Cancellation of Future Loan Releases**. The GSIS shall declare, without notice to the member-borrower, that the entire obligation (with respect to a particular student-beneficiary) is due and demandable, and shall automatically cancel future loan releases under any of the following circumstances: (a) the member-borrower was pre-terminated from government service due to death, resignation, permanent disability, retirement or separation, or dismissal from service during the study period; (b) the member-borrower made misrepresentation in connection with the loan; (c) the student-beneficiary failed to re-enroll in the succeeding school term for non-meritorious reasons such as dropping out, suspension or expulsion, among others. **Additional Sanction for Misrepresentation**. Misrepresentation made by the member-borrower in connection with the GFAL-EL loan, such as the relationship with the student-beneficiary, shall also be subject to criminal and/or administrative charge.

12. **Penalty for Arrearages**. An account is considered in arrears if: (a) there is payment for monthly installment but the remittance of said payment is delayed; (b) the actual amount paid for the month is less than the amount due for the same month; or (c) there is no payment made for the month. The unpaid amount shall incur a penalty at the rate of 1% per month, compounded monthly, until the arrears are paid.

13. **Default**. In the event of default, the outstanding balance of the loan becomes due and demandable without need of demand or further notice, all of which the borrower expressly waives. Accounts in default shall be endorsed for appropriate legal action within thirty (30) working days from default. The outstanding balance of due and demandable loans shall be charged a penalty of 18% per annum compounded monthly (p.a.c.m.), broken down as interest (on the outstanding balance) of 12% p.a.c.m. and surcharge of 6% p.a.c.m., from the date of default until the date of full payment.

14. **Authority to Deduct**. The member-borrower authorizes the GSIS to set off, collect or withhold an amount equivalent to the outstanding obligation of the GFAL-EL from any money, property that may now or hereafter be due to the member-borrower in the possession of the GSIS, upon default of any of the terms and conditions of the loan agreement.. Likewise, the member-borrower authorizes the GSIS, through the employer (government agency), to deduct from the terminal leave benefits any remaining outstanding loan obligations they may have with the GSIS upon their separation or retirement. The proceeds of the life insurance benefit as well as retirement benefits of the member-borrower are hereby assigned to the System to be applied as payment of whatever balance is still unpaid; likewise, upon default in any of the terms and conditions of the loan agreement.

15. **Restricted Availment of Other GSIS Loans**. The GSIS shall put in place monitoring tools that will check and restrict, if necessary, the availment by the member-borrower of other GSIS loans in the future to ensure that there is sufficient fund to meet the future payment of monthly amortization for the GFAL-EL.

*We confirm that we have read and fully understood the **GFAL-EL** Terms and Conditions and undertake to comply with them.*

We confirm our understanding of the Privacy Policy of the GSIS pursuant to the requirements of Republic Act (R.A.) No. 10173, otherwise known as the Data Privacy Act, and consent to the manner of collection, use, access, disclosure and processing of our personal and sensitive personal data by the GSIS.

Finally, pursuant to R.A. No. 9510, otherwise known as the "Credit Information System Act", and its Implementing Rules and Regulations (IRR), we hereby acknowledge and consent to: 1) the regular submission and disclosure of our basic credit data and updates thereon to the Credit Information Corporation (CIC); and 2) the sharing of our basic credit data with lenders authorized by the CIC, and credit reporting agencies and outsourced entities duly accredited by the CIC, subject to the provisions of R.A. No. 9510, its IRR and other relevant laws and regulations.

_____

MEMBER-BORROWER (Signature over Printed Name)

_____

STUDENT/ CO-MAKER (Signature over Printed Name)